

Unemployment Multiplier

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Sufficient statistic # 2: unemployment multiplier, m

Definition:

$$m = - \frac{du}{dg}$$

- m is decrease in unemployment rate (in pp) when share of labor force devoted to public production increases by 1 pp.
- changing $\rightarrow$ change in $AD \rightarrow$ change in θ
 $\rightarrow$ change in u
- $m = 0$: unemployment rate doesn't respond to public spending
- $m > 0$: unemployment rate $\downarrow$ when public spending $\uparrow$ (realistic case in US)